RESOLUTION No. 7325

Transfer from PERS Rate Stabilization Reserve Fund to General Fund as Provided in FY26 Adopted PPS Budget

RECITALS

A. In 2003, the PPS Board of Education (Board) created the PERS Rate Stabilization Reserve Fund (Reserve Fund) to account for the reserve needed to minimize large fluctuations in the PERS rate assessed against PPS salaries and wages, and to repay the PERS Unfunded Actuarial Liability (UAL) borrowing related to the District's participation on the Oregon School Boards Association Pension Obligation Bond Programs.

B. In 2011, in Resolution 4471 (attached hereto as Exhibit A), the Board dedicated 0.11% of each Current Year Property Taxes to the Reserve Fund, without increasing overall property taxes, and adopted certain parameters for funding and expending resources of the Reserve Fund. That resolution specifically provided that Reserve Funds could be transferred to the General Fund under either of the following conditions:

- For the PERS rate that is charged to all PERS-eligible district payroll: Upon rate increases in the contractually required PERS charge, an amount may be transferred from the Reserve Fund to the General Fund, not to exceed the contractually required combined PERS rate increase (over the PERS contractually required rate in effect at June 30, 2011) times the PERS-eligible budgeted salary base for the ensuing period.
- For the personnel benefits rate that is internally charged to pay annual PERS UAL debt service: Upon rate increases in the PERS UAL rate that are required to cover the current annual costs, an amount may be transferred from the Reserve Fund to the General Fund, not to exceed the calculated PERS UAL internal benefits fringe rate increase (over the calculated fringe benefits rate for the year ended June 30, 2011) times the PERS-eligible budgeted salary base for the ensuing period.
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- The Board may elect to transfer the combined maximum amounts determined for the two aforementioned conditions, any lesser amounts, or none at all.

C. The PPS adopted 2025-26 (FY26) budget provided that $23,961,548 from the Reserve Fund would be transferred to the General Fund to offset the cost of both the PERS rate that is charged to all PERS-eligible District payroll and the personnel benefits rate that is internally charged to pay annual PERS UAL debt service. This amount is in excess of the combined amounts calculated under the 2011 Resolution 4471, which does not reflect current PPS PERS side account credit conditions.

RESOLUTION

As reflected in the FY26 Board-adopted budget, the Board will forgo the calculation limitations in Resolution 4471 and approve the one-time transfer of $23,961,548 from the Reserve Fund to the General Fund. The transfer to the General Fund will partially offset the cost of both the PERS rate that is charged to all PERS-eligible district payroll and the personnel benefits rate that is internally charged to pay annual PERS UAL debt service.